APPENDIX F - The Larry Swedroe Portfolio

Larry Swedroe is one of my favorite writers and researchers. With 15 books to his name, his focus on evidence based investing fits in well with how we view the world. We debated about including this portfolio in the book since it requires using a value tilt, but think it is an important example of how a simple smart beta strategy may be beneficial to the overall portfolio.

The biggest difference between the allocation and others in this book is that he allocates to small cap value. Small cap value stocks have outperformed broad small caps by about four percentage points a year, which is a lot. The value stocks have slightly more volatility and a higher drawdown as well.

FIGURE 57 - Larry Swedroe Eliminate Fat Tails Portfolio

US Large Cap	Stocks	
US Small Cap	Stocks	15%
Foreign Developed	Stocks	
Foreign Emerging	Stocks	15%
Corporate Bonds	Stocks/Bonds	
T-Bills	Bonds	35%
10 Year Bonds	Bonds	
30 Year Bonds	Bonds	
10 Year Foreign Bonds	Bonds	
TIPS	Real Assets	35%
Commodities	Real Assets	
Gold	Real Assets	
REITs	Real Assets	

Source: Swedroe

Below are the portfolios returns for comparison.

Swedroe's unusual allocations are another example of a consistent performer due to including a mix of stocks, bonds, and real assets. We include the performance of including small cap as well as small